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Entrepreneurship for Students: From Idea to First Paying Customer

Validate a business idea cheaply before you spend money on it

MONEY & CAREER

Money & Career

General Studies (GST / CED)
Centre for Entrepreneurship Development (CED) | 100L

Written for students, by students.

Practical notes, worked examples, practice questions and a revision plan.

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Independent study support | Not an official UNIZIK publication

START HERE

Why this pack exists

Most student businesses fail because nobody wanted the product, not because the owner lacked passion. This pack teaches problem-first thinking, cheap validation, unit economics and a first-sale plan, with Nigerian campus examples you can test within a week.

This is a student-written study companion, not a reproduced lecture handout or a leaked examination paper. Use it to organise the topics you are taught, practise the kind of thinking your course rewards, and walk into class with better questions.

What you will be able to do

- Identify a real problem and define a specific customer.
- Validate demand before investing capital.
- Calculate simple unit economics and a break-even point.
- Plan and execute a first sale, then decide whether to continue.

How to use this pack

1. Skim the whole pack once in 20 minutes so you know what is inside.
2. Work through one section at a time with your lecture note and recommended text beside you.
3. Attempt the practice questions before reading the answers. Mark what you missed.
4. Use the final checklist to plan your revision week, one tick per study session.

> **Free to download, always**
> This pack is free. There is no fee, no subscription and no payment step before download, and the full PDF is not watermarked or locked. Share the link with a coursemate instead of forwarding the file.

> **Confirm your official course outline**
> Course codes, credit units and outlines can differ by department and session. Treat this pack as supplementary support and confirm the current outline with your lecturer, course rep or departmental handbook before an assessment.

Start from a problem

A business exists to solve a problem someone will pay to remove.

- Define the customer narrowly: '200-level engineering students in hostels' rather than 'students'.
- Describe the problem in their words, not yours.
- Check whether they currently solve it and how much that costs them.
- Avoid ideas that rely on everyone adopting a new habit.
- Look for frequent, painful and urgent problems.
- Write one problem statement before writing a business plan.

Validate cheaply

Do not build first and ask later.

1. Talk to ten real potential customers without pitching.
2. Ask what they do now, what it costs and what frustrates them.
3. Offer a manual version of the service to three people for a small fee.
4. Record whether they pay, not whether they say it is a good idea.
5. Adjust the offer based on what they actually paid for.
6. Only buy stock or build a product after evidence of willingness to pay.

> **Compliments are not demand**
> 'That is a nice idea' costs nothing. Payment, a deposit or a pre-order is evidence.

Unit economics and the first sale

A business that loses money on every sale cannot grow out of the problem.

- Price minus variable cost equals contribution per unit.
- Calculate break-even: fixed costs divided by contribution per unit.
- Count your own time as a cost, even if you do not pay yourself yet.
- Start with a narrow offer and deliver it excellently.
- Collect feedback and one testimonial from the first customer.
- Decide honestly after 30 days: continue, adjust or stop.

An idea is not a business

A business exists when someone pays for something repeatedly at a price that covers costs. Everything before that is a hypothesis. The useful question is not "is this a good idea?" but "who specifically has this problem badly enough to pay, and how will I reach them?"

Most student ventures fail for one of three reasons: no clear customer, no margin after real costs, or no repeat purchase. A product that everyone admires and nobody buys has failed at the first test; a product that sells at a loss has failed at the second.

Start small enough to test cheaply. One product, ten customers, one channel. Learning from ten real transactions is worth more than a business plan written for a thousand imaginary ones.

Costs, price and the first sale

Separate fixed costs (equipment, registration, rent) from variable costs (materials, packaging, delivery). Your price must cover variable cost plus a contribution towards fixed costs plus a margin. Many student businesses price at the cost of materials and then discover they have been working for free.

Your first ten customers come from people who already trust you: classmates, family, church or mosque networks, and their referrals. Sell to them in person, ask why they bought, and note what they complained about. That conversation is your market research.

Keep records from day one: money in, money out, stock, and who owes what. A notebook is sufficient. Businesses without records cannot tell whether they are profitable, and they cannot prove anything to a lender or partner later.

> **Sell before you build**
> Take pre-orders or a deposit before committing to a large purchase of stock. If nobody will pre-pay, nobody will buy.

Legal basics, partners and failure

Register the business when it starts handling meaningful money - a business name registration is inexpensive and separates your personal liability from the venture's obligations. Understand what you are signing, especially with a partner.

Partnerships fail over unspoken expectations. Before starting, write down who contributes what, who decides what, how profits are split, what happens if someone leaves, and how disputes are resolved. A one-page agreement signed while everyone is friendly prevents most later conflict.

Expect the first version to be wrong. The skill is not avoiding failure but making it cheap and quick: test small, listen, change one thing at a time, and stop when the evidence says stop. Persistence is valuable only when the feedback is improving.

WORKED EXAMPLES

Do it once, slowly

These are not model answers to copy. They show the reasoning a strong student would use, step by step, so you can repeat the process on a question you have not seen.

1. Testing an idea cheaply

You want to sell packaged snacks on campus.

1. Define the customer: students leaving evening lectures who have not eaten.
2. Set a test: make 20 units and sell them at one location over two evenings.
3. Calculate the true cost per unit, including packaging, transport and your time.
4. Record how many sold, at what price, and what buyers said.
5. Decide: continue, change the price, change the location, or stop.
6. Only scale after the test shows a margin and repeat buyers.

> **What to carry forward**
> Twenty units sold honestly tell you more than a business plan.

2. Writing a one-page partnership agreement

Two friends want to start a printing service.

1. State contributions: cash, equipment, time and skills.
2. State roles and who decides what.
3. State the profit split and when it is paid.
4. State what happens if one person stops contributing.
5. State how disputes are resolved and how someone exits.
6. Both sign and date, and keep copies.

> **What to carry forward**
> Write the exit before the entry. That is when it can still be discussed calmly.

EXAM TECHNIQUE

Questions with model answers

Written in the shape your course is usually examined, with the marking logic spelled out. Attempt each one under time before you read the outline.

Q1. Distinguish fixed and variable costs and explain why the distinction matters for pricing.

10 marks

1. Definitions with examples.
2. Price must exceed variable cost to contribute to fixed costs.
3. Contribution analysis identifies break-even.
4. Pricing below variable cost means losing money on every sale.

Q2. Why do most student ventures fail, and how can failure be made cheaper?

15 marks

1. No clear customer, no margin, no repeat purchase.
2. Test with small volumes and real transactions.
3. Record and respond to feedback.
4. Stop quickly when evidence is negative.

REFERENCE

Glossary

Use these definitions in your own sentences; a copied definition rarely earns full marks.

Value proposition. The specific benefit an offer promises to a defined customer.

Fixed cost. A cost incurred regardless of sales volume.

Variable cost. A cost that rises with each unit produced or sold.

Contribution. Price minus variable cost per unit.

Break-even. The sales volume at which contribution covers fixed costs.

Margin. The difference between price and cost, as an amount or a percentage.

Pre-order. Payment taken before goods are produced.

Repeat purchase. A customer buying again, the clearest sign of real value.

Cash flow. The timing of money entering and leaving the business.

Partnership agreement. A written statement of contributions, roles, splits and exit.

Your four-week plan

Week 1 - Customer

Specificity.

- Name one specific customer group.
- Interview five people about the problem.
- Write a one-sentence offer.

Week 2 - Costs

Numbers.

- List fixed and variable costs.
- Calculate a price with margin.
- Set a break-even target.

Week 3 - Test

First sale.

- Produce a small batch.
- Sell to ten people.
- Record what they said.

Week 4 - Decide

Evidence.

- Review sales and margin.
- Change one thing.
- Decide to continue, adapt or stop.

Where to read more

Entry-level texts you can find in the university library or a departmental reading list. Confirm editions with your lecturer.

- A short guide to starting a small business.
- Your country's business registration guidance.
- A book on testing business ideas cheaply.

PRACTICE, NOT PREDICTION

Check your understanding

These questions are written for this pack to test the ideas above. They are not past examination questions and do not predict what your lecturer will set. Answer first, then compare.

1. Why define a narrow customer segment?

Answer: Narrow segments make it easier to find customers, understand their problems and tailor an offer that they will actually pay for.

2. What is the difference between validation and asking for opinions?

Answer: Validation measures actual behaviour such as payment or pre-order; opinions are cheap and often polite.

3. Contribution per unit is 400 and fixed costs are 8,000. Find break-even.

Answer: 8,000 divided by 400 equals 20 units.

4. Why should you not buy stock before validating?

Answer: Unsold stock ties up capital and turns an unproven idea into a loss.

5. What should you do after the first sale?

Answer: Deliver well, collect feedback and a testimonial, and use the evidence to decide whether to continue, adjust or stop.

Your 7-step action plan

Tick each step only when you have done it. A tick you cannot defend is worse than an empty box.

- [ ] Write one problem statement in your customer's words.
- [ ] Interview ten potential customers without pitching.
- [ ] Calculate the variable cost of your offer.
- [ ] Set a price and calculate break-even.
- [ ] Run a manual version of the service for three customers.
- [ ] Collect one testimonial.
- [ ] Review results after 30 days and make a decision.

Keep going

One pack will not carry a semester. Pair this with your lecture notes, tutorials, and the past questions your department actually releases. If a topic still feels unclear, take a specific question to your lecturer or course rep - "I do not understand the difference between X and Y" gets a better answer than "I do not understand this course".

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YOUR WORKSPACE

Notes, questions and things to ask

Use this page in class or during revision. Write questions you could not answer instead of copying slides.

Three ideas I can now explain without notes:

A question I still cannot answer:

For my lecturer or course rep:

Next revision action and date: